

Eaton Corporation PLC (NYSE: ETN)

Investment Thesis

I am initiating a buy rating for Eaton Corp. (ETN) with 12-month Target Price of \$549.93.

EATON is an intelligent power management company that makes products for data centers, residentials, machine building, aerospace and mobility markets. Company is in prime position to capitalize on the exponential growth in all the segments it operates in, namely electricals (mainly data centers, electrification, etc.), aerospace technology and eMobility.

To reduce cyclical exposure, drive margin expansion and leverage on the megatrend of global infrastructure spending, company has completed several strategic acquisitions and divestiture of businesses across its operational segments to position itself for continued future growth.

Exchange	NYSE
Ticker	ETN
Sector	Industrials
Price (22/06/2026)	\$427.43
Target Price	\$549.93 (28.66%)
52 Week High/Low	\$435.43/311.92
Market Cap. (Mn.)	\$160,618.4
Shares O/S (Mn.)	388.3
EV/EBITDA	29.2x
Dividend Yield	1.06%
Return on Equity	20.9%

Valuation Summary

My 1-year price target of \$549.93 implying 28.66% upside potential is based on DCF valuation model with terminal growth rate/WACC assumptions of 4.15%/11.53% respectively. This implies a forward EV/EBITDA multiple of 31.24x which is well below the weighted average (by segment) peers EV/EBITDA multiple of 38.67x. I also performed relative valuation using comparable peers from operational segments of ETN, which strongly supports my baseline assumptions (detailed below in Relative Valuation section).

Company Overview

Established in 1911, Eaton Corp. is headquartered in Dublin, Ireland; with market cap. of ~\$167bn. is one of the largest companies operating in Industrial sector. The company designs and manufactures broad range of hardware components for electrical, automobile and aerospace companies. It categorizes the revenue earned in five primary segments, namely: Electricals Americas (~48.37%), Electrical Global (~24.83%), Aerospace (~15.48%), Vehicle (~9.12%) and eMobility (~2.20%). It has global presence in 180 countries with operations expanding US, Canada, LatAm, Europe and Asia Pacific, however ~62% of revenue is earned in US.

In LTM, company generated \$28.52B (+12.7% y/y) in revenue with healthy EBITDA/EBIT/PAT margins of 23.7%/20.0%/15.3% respectively. Backed by great profit margins, company generated free cash flow of \$3.78B (~86.68% of PAT), demonstrating exceptional cash-generation capability. ETN has robust balance sheet with Total Debt-to-EBITDA/Total Debt-to-Total Equity ratios of 1.65x/0.55x respectively. Therefore, it has ample leeway to raise additional debt, with healthy interest coverage ratio of 21.61x.

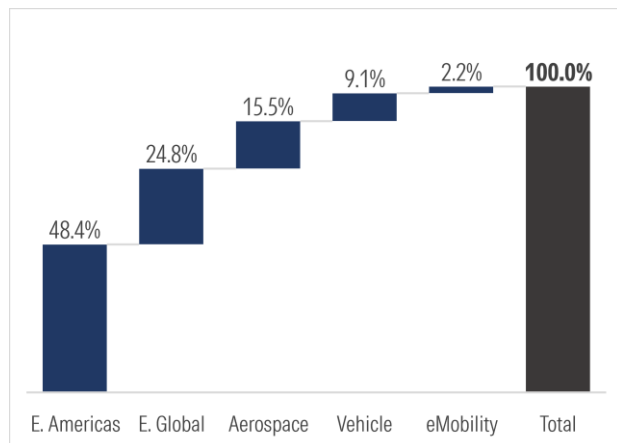


Figure 1: Segment-wise Revenue, Source: Cos. FY25 AR

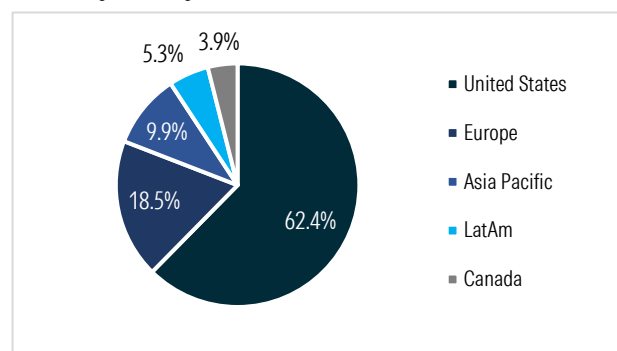


Figure 2: Geographical Revenue, Source: Cos. FY25 AR

Backlog of \$13.25B (+31% y/y, ~46% of LTM revenue) and book-to-bill ratio of 1.20x shows strong demand for company's products/services and this is expected to grow even further with industrials and manufacturing activity picking up after short-cycle of no growth, measured by US ISM Manufacturing PMI being 54.0 (May) vs 53.0 (April). As a result, company has accelerated its spending across the segments and has provided capex guidance of \$1.1B (+19.7% y/y) for FY2026.

ETN has an experienced management team with transparent and independent governance structure. The management teams have consistently delivered on their guidance and have made sensible capital allocation decision. Their proven track record of executing goals not only reinforces the company's stability but also inspires strong confidence in its future direction.

Business Model

ETN has a very simple business model of manufacturing and selling electric components such as breakers, switches, transformers, uninterruptible power supplies (UPS), and aircraft fuel systems. It builds hardware to not only keeping the electricity flowing but also to intelligently manage the flow in such a way that not only makes the process efficient but also cost friendly. Company is strengthening its participation across the power management value chain by electrification, digitalization, and the reindustrialization of megaprojects in North America and increased global infrastructure spending.

Industry Overview

Data Center Segment

ETN primarily operates in the Industrials sector, which is currently undergoing unprecedented structural growth. Data centers have become a primary earnings driver for the company. The AI and data centers business is forecasted to reach \$117bn. total addressable market (TAM) in 2030 vs \$50bn. in 2025 at CAGR of 18.5%.

Company operates in oligopolistic market structure with select few comparable peers, most notably Schneider Electric, ABB Ltd. And Siemens AG, while facing fierce domestic competition from North American specialist like Emerson Electric and Rockwell Automation. Industrial's sector has high barriers to entry, advanced technological expertise and high customer switching costs.

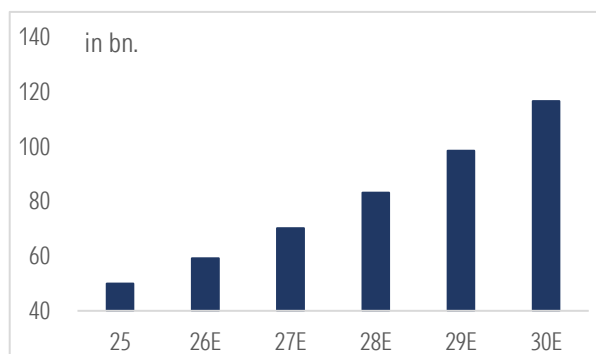


Figure 3: Data Center TAM, Source: Bloomberg Intelligence

Electrical Equipment

With rise in AI and data centers, demand for energy has also surged across North America which requires expansion. Companies that already possess the expertise and capability to match this demand are poised to benefit significantly. Apart from energy infrastructure building, there is high demand for water cooling systems as the processors and complex electrical systems overheat.

Vehicle & eMobility

EV and eMobility segment saw a decade of rapid growth, however the momentum had moderated following the policy shifts under Trump administration. However, crude oil crisis has again ignited the demand for EVs to reduce its dependence on ICE vehicles. Expectations of increase in EV production is reflected in rise in share price of companies operating in this sector.

Catalysts

Macro tailwinds driving growth across operational segments: Company operates in segments that have advantages of heavy tailwinds leading to growth and demand across its product offerings and these demands are

expected to remain strong for several years in the future. Rise in AI has led to surge in demand for power/electricity, and only the quantity, but efficiency of power management which the company specializes in.

The unfortunate middle eastern conflict put a lot of pressure on crude oil prices which made all the derivatives of crude oil expensive for the customers. This led to realization to pivot from combustible-engine vehicles to EVs. ETNs eMobility business, which was started just 10 years ago, has seen CAGR growth of ~8% and is expected to accelerate growth in coming years.

Uptick in US Industrial Production as measure by ISM Manufacturing PMI:

After muted/no growth in US industrials production for 5 years, 2026 is finally showing encouraging signs of uptick in the PMI index (54.0 in May '26 vs 52.7 in April '26 vs 51.5 5-yr average), the fifth consecutive expansionary print and the highest reading since May '22 suggesting pickup in industrial production.

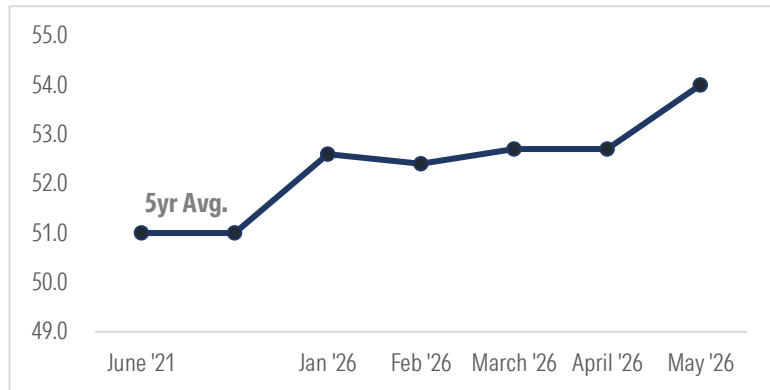


Figure 4: US ISM PMI, Source: Bloomberg

Direct upside exposure with indirect downside exposure: Although company directly benefits from the massive AI and energy infrastructure spending, it has indirect exposure to the downside risk. ETN has comfortable market share and is goods and service provider to all the major participants building data centers. Even if individual companies falter, the heavy investment towards AI and energy infrastructure and grid modernization is expected to remain resilient as this is a structural shift that is going to have permanent effect across all sectors of the economy, much like the Industrial Revolution of 18th century. Other companies/competitors will pick up the remaining slacks and will try to capitalize on the opportunity to fill the void left by the faltered companies in the ecosystem.

Investment Risks

Market Risks

Interest rate and inflation risk: With the appointment of Kevin Warsh, market was expecting at least two rate cuts in 2026, however, Warsh in his inaugural speech as chairman of the Federal Reserve gave no indication regarding any potential cuts. Fed rather shifted to hawkish view because of inflationary pressure in the country. This will make any new debt issues expensive for the company and might slow down capex investment.

Economic slowdown risk: Interest rates and inflation play a crucial role in economic activity. Economic downturn weakens wages, labour market and consumer confidence. This reduces purchasing power, weakening demand for discretionary items like vehicles (affecting eMobility and Vehicle segment), travel (affecting aerospace segment). Companies which are potential customers of ETN, also wait out this period to make any new investment decision (affecting the Electricals segments).

Political Risk

US-Iran war related risk: This war has not only put pressure on oil prices globally but has also disrupted the world's supply chain. ETN manages business with manufacturing facilities across the world and the flow of raw materials as well as finished products can be affected by this war.

Government Contracting: Company also provides goods and services to the US government, because of this company is subjected to certain additional rules, regulations, audits, investigations and enhanced compliance. ETN

is also sensitive to the level of government spending. New trade policies can significantly disrupt company's value chain, as experienced by a number of companies after Trump administration's tariff announcement.

Operational Risk

Profitability Risk: Increasing input costs will put downward pressure on margins of the company and will reduce profitability, ultimately affecting cash flow generation ability of the company.

Technological Risk: Advancement and adoption of new technology is critical for ETN to remain competitive. Failure to adapt may increase costs and reduce efficiency, which can hinder company's ability to meet timelines and production targets.

Quality Control: Quality with quantity is essential for a company to grow. Retaining existing client by providing good quality products and services while expanding customer base by increasing production can be a challenge. Poor quality control leads to a surge in costs, including product recalls, warranty claims and expensive re-works. However, the more devastating, long-term hazard is the erosion of brand reputation and customer trust.

Financial Analysis

Dupont Analysis	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Tax Burden	83.5%	79.7%	79.2%	78.6%	78.1%	77.6%	77.1%	76.6%	76.0%	75.5%	75.0%
Interest Burden	95.5%	96.6%	96.7%	96.8%	96.8%	96.9%	96.9%	97.0%	97.0%	97.1%	97.1%
EBIT Margin	19.4%	20.4%	21.0%	21.6%	22.0%	22.4%	22.7%	23.1%	23.5%	23.8%	24.1%
Asset Turnover	0.60x	0.60x	0.60x	0.60x	0.60x	0.60x	0.60x	0.60x	0.60x	0.60x	0.60x
Financial Leverage	2.08x	2.08x	2.08x	2.08x	2.08x	2.08x	2.08x	2.08x	2.08x	2.08x	2.08x
Return on Equity	19.3%	19.6%	20.0%	20.5%	20.8%	21.0%	21.2%	21.4%	21.6%	21.8%	21.9%

Table 1: Dupont Analysis, Source: Author's Projection

Profitability and Margin Expansion: ETN has been expanding its margins across the board for last few years with exceptional operational efficiency and intelligent capital allocation. Company divested its low-margin legacy businesses and invested more to scale the high margin segments. ETN is currently enjoying tax advantage because of different tax treatments across geographies with effective tax rate of 19.8%, but in my analysis, I have assumed that these benefits will fade away in the long term and the tax rate will reach the US federal corporate tax rate of 25%.

Well-capitalized structure: ETN maintains a highly disciplined balance sheet and conservative capital structure engineered to reduce WACC while maintaining high liquidity to fund strategic needs. Company has a healthy Debt-to-EBITDA/Debt-to-Equity ratio of 1.65x and 0.55x with extremely comfortable interest coverage ratio of 21.61x. These ratios not only give picture of past financial position but also ensures that company can raise additional debt if needed without putting much constraint on its financial position.

High Liquidity and consistent working capital ratios: ETN have sufficient current assets to cover its short term needs and obligations with current ratio of 1.32x. Additionally, company has consistent DSO/DIO/APT of 66.53/95.34/81.25 keeping the cash conversion cycle at 80.62 days which is at par with its competitors.

Higher earnings with rational Payout: Company have been increasing its net income at 14.14% CAGR for last 5 years and has been forecasted to grow at 10.37% CAGR for next 10 years. ETN's management has been very sensible with dividend payouts by increasing payouts whenever they had ample cash and not enough investing opportunities while reducing payouts when they find investing opportunities. Because of this, company has been able to increase the shareholder value while also returning cash to shareholders, keeping both the shareholders and management content.

Superior Cash Flow generation: Fundamental strength of ETN's business model is its extraordinary cash generation capabilities. Company has a commanding CFO-to-Net Income ratio of 1.19x stating that company is able to generate most almost all of its net income to cash.

Note: Although, I believe that company will continue to improve its margins for some more years in the future, but conservative approach has been used for analysis purpose. As it happens with every sector with high margins, new companies enter the business making the sector more competitive and putting downward pressure on margins.

Valuation

Discounted Cash Flow Valuation

Forecasting Period: 10 years

Forecasting Frequency: Annual

Revenues Forecasting: Company provides revenue guidance every year which has been in line with the actual revenue earned with average beat of 0.40% for last 5 years. For 2026, estimated growth rate provided by the management was used. Thereafter, 2-stage growth assumption were made; initial high growth of 10.2% for first 5 forecasted period. This rate was calculated using the Gordon's sustainable growth rate formula based on ROE: 20% and stable dividend payout ratio of 40% and was then

adjusted for actual growth surprise (avg. actual growth rate has been 1.8% below the GGM estimate). Afterwards, growth will start to gradually decrease to reach terminal growth of 4.15% (US 10-yr Rf. rate) in year 10 (2035).

Gross Margin: Company has been expanding its gross margin y/y, and I believe this will continue for few more years until they achieve economies of scale. So, I have assumed margin cap of 45% (average competitor's gross margin) which company will achieve in terminal year 2035. As a result, I have gradually increased the gross margin of 41.3% in 2025 to 45.0% in 2035 implying increase of 37bps in 10 years which is highly conservative and plausible.

R&D Adjustment: According to US GAAP, R&D has to be expensed by the company in income statement. However, the effect/benefit of R&D is realized over multiple periods, so to reflect this, I have made an adjustment to capitalize the R&D expense by assuming amortization period of 10 years. The amortization period is sourced from Damodaran's sector-wise R&D amortization cycle table.

Non-cash Working Capital: To forecast Working capital needs, I calculated each component for Current Assets and Current Liabilities. Using ratios like ARTR, APTR and ITR I made the projections for receivables, payables and inventory by assuming that the historical ratios are justified as they are comparable to its peers, and the company will be able to keep these metrics constant substantiated by working capital discipline. Additional components like prepaid expenses and short-term debt have been forecasted as percentage of revenue. Based on this I calculated the change in non-cash working capital by observing the increase/decrease in working capital.

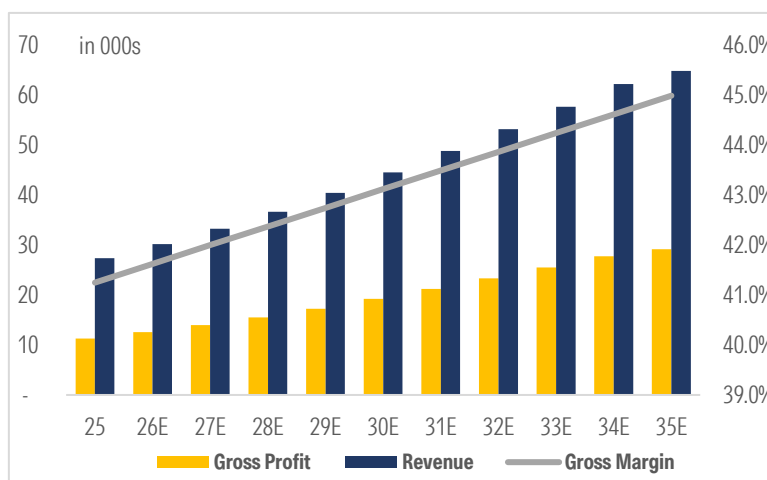


Figure 5: Financial Summary, Source: Author's Projection

Taxes: Company has paid effective tax rate of 21.8% on average over the last 5-years. This is lower than the statutory corporate tax rate of 25% in US. This is due to different tax treatments across the globe, which allows multinational companies to legally shift their tax obligations. However, assumptions have been made that ETN cannot defer its tax liabilities in perpetuity. For valuation purposes, I have presumed that company will be paying the statutory tax rate of 25% by its terminal year, so I have gradually increased the tax rate to reflect this.

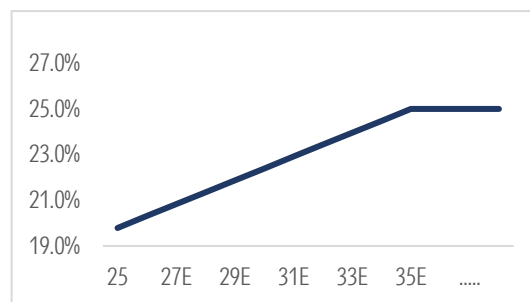


Figure 6: Tax Rate Projection

Beta: Bottom-up approach was used to estimate beta for the company. Firstly, I identified comparable peers for each segment the company operates in, then their regression beta was collected from the Bloomberg. Next step was to unlever the regression beta using their fundamentals. Then I calculated the average segment unlevered beta, which in turn was used to calculate weighted average (based on revenue earned from each segment) unlevered beta. Finally, I relevered this beta with ETN's fundamentals to get beta of 1.46x.

Business Segment	Revenue	Revenue Share	Peers Unlevered Beta
Electrical	20,091	80.44%	0.88
Aerospace	4,249	17.01%	0.43
Mobility	636	2.55%	0.62
Total	24,976	100.00%	0.80

Table 2: Segment-wise Beta Calculation

Average peer's unlevered beta for electrical sector is higher than for aerospace and mobility sectors, thus beta for the company is biased towards electrical segment as it is company's primary operational segment with ~80% revenue share. As company continues to diversify towards aerospace and mobility segment, beta will start to decrease resulting in reduction in the cost of equity.

Risk-Free Rate (4.15%): Previously, 10-year US government bond yield was used as a benchmark for risk-free rate across the globe as US was among economies that commanded the highest sovereign rating of Aaa (Moody's rating). However, in 2025 Moody's downgraded the rating to Aa1 leading analysts to adjust for the riskiness in US debt.

I calculated the true US risk-free rate by removing the default spread over the highest rated country, that is, Switzerland. I have used CDS spread between US's sovereign CDS (43.89bps) and Switzerland's sovereign CDS (9.56bps) as the compensation of default risk for US Bond. The CDS spread of 34.33bps was removed from US 10-year govt. bond yield of 4.49% to get true risk-free rate of 4.15% (Appendix 2).

Country Risk Premium (0.62%): As company has operations globally, so it faces risks and uncertainty globally. In order to compensate for this risk, we add CRP to our model. This has been calculated by taking the country risk premium for each region the company operates in and then calculating weighted average using revenue split earned from these regions. Specific region CRP was source from Damodaran's website.

Region	Revenue	Revenue %	ERP	Weighted ERP	CRP	Weighted CRP
US	17,122	62.48%	4.33%	2.70%	0.00%	0.00%
Europe	5,078	18.50%	5.45%	1.01%	1.12%	0.21%
Asia-Pacific	2,704	9.85%	5.87%	0.58%	1.54%	0.15%
LatAm	1,461	5.32%	9.15%	0.49%	4.82%	0.26%
Canada	1,083	3.95%	4.33%	0.17%	0.00%	0.00%
Total	27,448	100.00%		4.95%		0.62%

Table 3: ERP & CRP Calculation, Source: Damodaran's Estimate

Equity Risk Premium (4.95%): The Equity Risk Premium (ERP) is calculated by subtracting the risk-free rate from expected market return. ERP serves as compensation for taking on risk of equities compared to risk-free assets. However, I used Damodaran's ERP estimates for different regions to calculate the weighted average ERP for ETN.

Cost of Equity (11.53%): CoE was calculated using the simple CAPM and then I added the CRP to compensate for country specific risk.

Cost of Debt (3.87%): For CoD, I used 2-approaches and then used the average of both approaches as the final measure. First approach is to get the average Default Spread for companies with the same S&P issuer rating (A-/95 bps) and add it to the risk-free rate to get CoD of 5.10%. Second approach is to just use YTM for on-the-run 10-year bond (5.22%). Average pre-tax CoD came out to 5.16%, however, debt reduces the tax obligation therefore increase the profit ultimately increasing the value. So, we adjust for tax shield thereby getting post-tax CoD of 3.87%.

Approach 1: Default Spread Method		Approach 2: YTM Method	
ETN's Long-Term S&P issuer rating	A-	YTM for on-the-run 10-year bond	5.22%
Avg. Corporate Default Spread	0.95%		
US Risk-free rate	4.15%		
Pre-tax Cost of Debt	5.10%	Pre-tax Cost of Debt	5.22%
Average Pre-tax Cost of Debt		5.16%	
Tax Rate		25.00%	
Post-tax Cost of Debt	3.87%		

Table 4: Cost of Debt Calculation

Terminal Growth Rate (4.15%): Terminal value is a very sensitive and important assumption for calculation of equity value. I have tried to be conservative and logical about the perpetual growth rate of the company. So, my model assumes that company will grow at minimum of risk-free rate, outlining that if company's growth rate trails risk-free rate, then it will start destroying shareholder's value and will be unviable to stay in business. Investors can just invest in government debt instead of ETN.

WACC (11.53%): Company has only two-tier capital structure: Debt and Equity. Market value of equity is defined by market capitalization. Debt for ETN consists of publicly traded bonds and lease liability. Market value of publicly traded debt is calculated using the available price for the bonds, as for lease liability, company has provided future lease obligation which was used for computing market value by discounting them using CoD.

Structure	Weight	Cost
Equity Capital	94.51%	11.97%
Debt Capital	5.49%	3.87%
WACC		11.53%

Table 5: WACC Calculation

Total Shares Outstanding (390.20 mn.): Company has 387.90mn. common shares outstanding as of valuation date (22/06/2026). However, to determine true equity value, we add the contingent claims that company may have issued such as options, warrants, PSUs, RSUs, etc. as the company must inevitably issue these new shares once holders exercise them. ETN has issued PSUs, RSUs/RSAs to its employees which was directly added to the common shares. As for options, I used Treasury Stock Method to calculate the Net Stock Options issued by the company.

Total Shares Outstanding Calculation (in mn.)		Treasury Stock Method (in mn. except per share)	
Common Shares O/s	388.30	Stock Options	1.60
Preferred Shares O/S	0.01	Weighted Avg. Exercise Price	119.93
Deferred Common O/s	0.04	Current Market Price	427.43
RSUs/RSAs	0.60	Amount Received from Exercise	191.89
PSUs	0.10	Shares Repurchased	(0.45)
Net Stock Options Issued	1.15	Number of Share Issued	1.15
Total Dilutive Shares	390.20		

Table 6: Calculation of Total Shares

Relative Valuation

I valued ETN using comparable companies across the operational segment using LTM valuation and price multiples. Fundamental multiples such as EV/EBITDA, EB/EBIT, EV/Sales and price multiples: P/E, P/B and P/S were used. Methodology was to first compute share price using the multiples for each segment and then compute the weighted average share price using revenue splits per segment as weights. The median comparable LTM EV/EBITDA and P/E multiples were 27.82x and 41.94x respectively implying share price of \$538.57 (27.69% upside) and \$470.16 (11.47% upside) respectively.

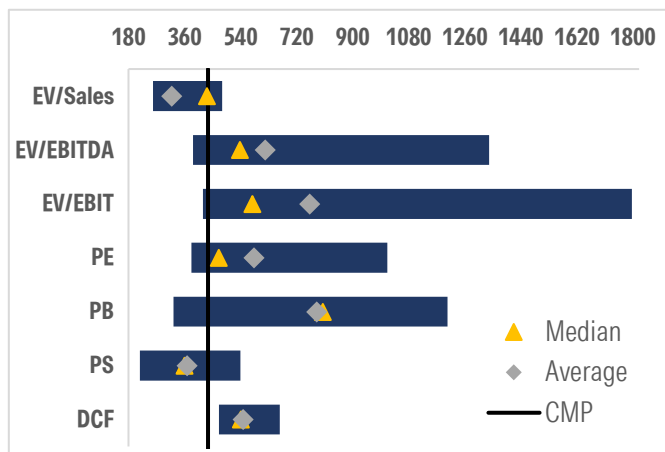


Figure 5: Valuation Football Field

Additionally, I calculated 4 metrics for the multiples: median, average, minimum and maximum to get a better picture of the relative value. Using these metrics, I calculated the range of the share price for each multiple illustrated in the Valuation Football Field (Figure 4). As seen, company is relatively either currently price or undervalued compared to its peers. The relative valuation was not used for the final price calculation but was rather used as confirmation on the DCF value.

Segments	Weights	Implied Average Share Price					
		EV/Sales	EV/EBITDA	EV/EBIT	PE	PB	PS
Electrical	80.4%	305.89	665.84	836.90	623.88	747.13	358.49
Aerospace	17.0%	420.84	457.33	483.66	429.40	1039.14	455.27
Mobility	2.5%	86.64	228.66	255.78	338.4	276.83	130.37
Weighted Avg.	100%	319.86	619.24	762.01	583.52	784.83	369.15

Table 7: Relative Valuation Table

Sensitivity Analysis

I conducted a sensitivity analysis by changing the two key components for computation of equity value: WACC and terminal growth rate. I tried to find the share price for ETN for each combination of 0.5% change in both WACC and terminal growth rate. As per my model, for the highest level of acceptable WACC (12.51%) and lowest terminal growth rate (3.09%) the share price is \$445.04 which still show an upside potential of 6%. This shows that our company have good margin of safety in terms of its intrinsic value.

		WACC				
		427.43	10.64%	11.14%	11.64%	12.14%
Terminal Growth Rate	3.22%	37%	27%	19%	11%	4%
	3.72%	43%	33%	23%	15%	7%
	4.22%	51%	39%	28%	19%	11%
	4.72%	60%	46%	34%	24%	15%
	5.22%	70%	54%	41%	30%	20%

Table 8: Sensitivity Analysis

Scenario Analysis

Along with sensitivity analysis, I also performed scenario analysis to evaluate financial performance and value fluctuation from my base DCF under both bull and bear economic cycles. Historically, during downturns, company's revenue grew at 4.5% on average with gross margin contracting to 35% whereas

	Bear	Base	Bull
Terminal Growth	4.15%	4.15%	4.15%
WACC	11.61%	11.61%	11.61%
Revenue Growth	4.50%	10.20%	15.00%
Gross Margin	35.00%	42.00%	50.00%
Implied Share Price	379.94	543.28	730.6
Upside (Downside)	(11.11%)	27.10%	70.93%

Table 9: Scenario Analysis

revenue grew at 15% on average with gross margins expanding to approx. 50% during bull economy. So, I calculated the per share price under both circumstances keeping terminal growth and WACC unchanged. Based on these assumptions, my model indicates value drop of ~11% during market downturn and high ~71% in bull economy.

Conclusion

ETN is at the forefront of a historic industry upswing, and is primed to capture significant market share with its superior technological and operational efficiency. It represents a compelling and highly asymmetric investment opportunity with substantial margin of safety embedded in it. Through unparalleled exposure to the global electrification megatrend, domestic infrastructure and explosive growth of data centers, ETN has secured a deep, visible and highly profitable multi-year revenue pipeline. Company has also structurally shed its vulnerable business segments and has started investing more in profitable businesses by either increasing internal capex or by acquiring new businesses.

The meticulous Discounted Cash Flow valuation backed by Relative Valuation confirms that the market has yet to fully price in the structural growth trajectory of the company. Consequently, under current macro and company-specific assumptions, the company looks attractive with upside potential of ~28.5%. For these reasons, I am reaffirming my recommendation to buy Eaton Corporation at the current price.

Appendices

Appendix 1: Glossary

Term	Description
ETN	Ticker for Eaton Corporation PLC (the Company)
LatAm	Latin America
WACC	Weighted Average Cost of Capital
DSO	Days Sales Outstanding
DIO	Days Inventory Outstanding
APT	Accounts Payables Turnover Days
ARTR	Account Receivables Turnover Ratio
APTR	Account Payables Turnover Ratio
ITR	Inventory Turnover Ratio
Cos	Company's
CAPM	Capital Asset Pricing Model
CRP	Country Risk Premium
CoE	Cost of Equity
CoD	Cost of Debt
CAGR	Compounded Annual Growth Rate
TAM	Total Addressable Market
EV	Electric Vehicle
ICE	Internal Combustion Engine
PSU	Performance Share Units
RSU	Restrictive Stock Units
RSA	Restricted Stock Awards
ERP	Equity Risk Premium
Capex	Capital Expenditure
y/y	Year-on-year
YTM	Yield to Maturity
LTM	Last twelve months
EBITDA	Earnings before Interest, Tax, Depreciation and Amortization
EBIT	Earnings before Interest & Tax
PAT	Profit after Tax
CDS	Credit Default Swap

Appendix 2: US Risk-free Rate Calculation

Component	Rate
US 10-yr Govt. Yield	4.49%
US CDS	0.44%
less: Switzerland CDS	(0.10%)
US Default Spread net of Switzerland	0.34%
Risk-Free Rate	4.15%

Appendix 3: Detailed Cost of Capital

Source	Total	Weight	Cost
Market Capitalization	166,064	94.51%	11.97%
Market Value of Debt	9,641	5.49%	3.87%
WACC		100.00%	11.53%

Appendix 4: Peers

Peer's Name	Ticker	Market Capitalization (in \$mn.)
Electrical Segment		
GE Vernova Inc.	GEV	292,855.1
ABB Ltd.	ABBN SW	195,196.2
Schneider Electric SE	SU FP	183,493.1
Siemens Energy AG	ENR GY	160,088.4
Aerospace Segment		
General Electric	GE	389,530.0
Howmet Aerospace	HWM	109,623.4
Airbus SE	AIR FP	175,786.6
Rolls-Royce Holdings PLC	RR/LN	158,075.9
Mobility Segment		
Cummins Inc.	CMI	99,750.9
Volvo	VOLVB SS	68,805.4
Paccar Inc.	PCAR	63,870.1
HD Hyundai	267260 KS	22,293.6

Appendix 5: Weighted Average multiples calculation

Segment	Weights	Implied Median Multiples					
		EV/Sales	EV/EBITDA	EV/EBIT	PE	PB	PS
Electrical	80.4%	4.98x	27.37x	35.82x	43.38x	15.61x	4.77x
Aerospace	17.0%	6.50x	31.42x	36.94x	37.16x	18.57x	6.05x
Mobility	2.5%	1.69x	18.14x	22.04x	28.46x	5.52x	1.67x
Weighted Average	100.0%	5.15x	27.82x	35.66x	41.94x	15.85x	4.91x

Segment	Weights	Implied Average Multiples					
		EV/Sales	EV/EBITDA	EV/EBIT	PE	PB	PS
Electrical	80.4%	4.90x	41.38x	60.58x	55.65x	14.71x	4.88x
Aerospace	17.0%	6.47x	29.40x	36.57x	38.30x	20.46x	6.20x
Mobility	2.5%	1.92x	16.26x	21.08x	30.19x	5.45x	1.77x
Weighted Average	100.0%	5.09x	38.70x	55.49x	52.05x	15.45x	5.03x

Appendix 6: Sources

1. Bloomberg Terminal, Eaton Corp. PLC (NYSE: ETN)
2. S&P Capital IQ
3. Eaton Corp. PLC Company Website, <https://www.eaton.com/content/eaton/gb/en-gb/company/investor-relations.html>
4. Eaton Corp. PLC, Earnings Release (8-K), dt. 05/05/2026
5. Deutsche Bank Industrial Sector Research Report, dt. 07/06/2026 "DeBLASEing the Trail"
6. Mizuho Securities Equity Research Report on ETN, dt. 05/05/2026
7. Wells Fargo Equity Research Report on ETN, dt. 05/05/2026 "1Q26 Postview"
8. Aswath Damodaran, Country Default Spreads and Risk Premiums https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/ctryprem.html
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